Enhanced Standard Operating Procedures (SOPs)

Accounts Payable & Treasury - ABC Ltd.

CFO Absolute Control Framework | Zero Tolerance on Fraud

Expanded Common Frauds & Risks - AP & Treasury at ABC Ltd.

Dairy/beverage industry context: high-volume transactions, perishable goods, multi-location operations (Nairobi HQ + rural depots/chilling stations), widespread use of M-Pesa and cash → significantly elevated fraud exposure. These schemes cause multi-million losses annually. Perishable, high-volume procurement makes detection particularly difficult.

1. Duplicate payments — Same invoice paid twice (intentional via slight changes or accidental then exploited).
2. Fake/fictitious invoices — Shell companies submit bills for non-delivered milk powder, sugar, spares, or services.
3. Unauthorized payments — Rogue approvals for fake emergencies, advances to colluding transporters, personal expenses.
4. Vendor impersonation / Bank change fraud (BEC) — Fraudsters spoof supplier emails requesting new bank details; funds diverted.
5. Shell companies / Ghost vendors — Employee or relative sets up fake entity; invoices for "consultancy" or "transport" paid out.
6. Kickbacks & collusion — AP staff favors suppliers for bribes; inflated prices or fake deliveries accepted.
7. Check tampering / Forgery — Alter payee/amount on cheques; forge signatures (still occurs in some rural depots).
8. Petty cash abuse — Inflated vouchers, fake receipts for fuel/spares at chilling stations/depots.
9. Payroll ghost employees — Fake staff added (especially remote sites); salaries diverted.
10. Treasury-specific — Unauthorized inter-account transfers, fake forex deals, cash skimming, unmonitored M-Pesa payments.
11. Invoice laundering — Legitimate invoices inflated; difference kicked back.
12. Pass-through schemes — Fake vendor buys from real supplier; markup pocketed.
13. Expense reimbursement fraud — Fake travel/allowance claims by depot managers.
14. Multi-location risks — Local depot staff process payments with minimal Nairobi oversight; override approvals.

15. Cyber-enabled — Phishing → credential theft → unauthorized EFTs; SIM-swap attacks on mobile banking.
16. Inventory manipulation — Faking goods received notes (GRNs) for undelivered perishable items, leading to overpayments and stock discrepancies.
17. Price gouging collusion — Suppliers and internal staff agree on inflated unit prices for bulk dairy inputs, sharing overcharges via hidden channels.
18. False discount schemes — Claiming unearned volume discounts on invoices, pocketing the fabricated reductions through side payments.
19. Backdated transactions — Altering dates on invoices or POs to bypass fiscal year-end controls or tax thresholds.
20. Currency arbitrage fraud — Fabricating forex transactions in treasury to exploit rate differences, diverting gains to personal accounts.
21. Unauthorized investments — Treasury staff placing company funds in high-risk, fake investment vehicles for personal commissions.
22. Data integrity tampering — Hacking or insider alteration of ERP records to erase audit trails or modify transaction histories.
23. Vishing attacks — Phone-based social engineering to extract banking credentials or approve fake transfers.
24. Supplier quality dilution — Accepting substandard milk or ingredients for kickbacks, leading to production losses and fraudulent payments.
25. Refund exploitation — Issuing fake refunds for returned goods that were never supplied or returned.
26. Credit note forgery — Creating unauthorized credit notes to offset future invoices, diverting the credited amounts.
27. Expense padding — Exaggerating legitimate claims with altered receipts or multiple submissions for the same expense.
28. Ghost asset procurement — Purchasing non-existent equipment or spares, with payments diverted to colluders.
29. Collusive bidding in procurement — Rigging tenders with fake competitors to award contracts at inflated prices.
30. Employee loan diversion — Approving fake loans or advances, disguised as vendor payments.
31. M-Pesa layering — Using multiple M-Pesa accounts to layer small transactions, obscuring large fraudulent transfers.
32. AI-generated fake documents — Using deepfakes or AI tools to create realistic invoices, emails, or signatures for approval.
33. Supply chain interception — Intercepting legitimate deliveries and replacing with inferior goods, billing full price.
34. Insider whistleblower sabotage — Falsely reporting fraud to distract from real schemes or discredit controls.
35. Blockchain spoofing — Faking digital ledger entries in emerging treasury crypto dealings (if applicable).
36. Environmental claim fraud — Inflating costs for fake sustainability initiatives in dairy sourcing.

37. Tax evasion pass-through — Using vendors to under-report VAT or withhold taxes, sharing evaded amounts.
38. Remote access exploitation — Using VPN or remote tools to unauthorizedly access AP systems from off-site.
39. Biometric spoofing — Using fake fingerprints or photos to bypass payroll attendance systems.
40. Vendor rating manipulation — Inflating supplier scores to justify continued overpriced contracts.
41. Emergency fund siphoning — Fabricating crises at rural depots to access unmonitored emergency cash pools.
42. Quantum computing threats — Future-proofing against advanced hacks on encryption for banking portals (emerging risk).
43. Social media intelligence gathering — Using public employee profiles to tailor phishing or impersonation attacks.
44. Cross-border remittance fraud — Diverting international supplier payments through fake intermediaries.
45. Sustainability report padding — Falsifying ESG-related expenses for grants or tax breaks, diverting funds.
46. Drone-based surveillance evasion — Using tech to monitor and evade physical site visits for vendor verification.
47. Metaverse asset scams — If treasury explores digital assets, faking virtual investments tied to real funds.
48. Neuro-linguistic programming in negotiations — Subtle psychological manipulation to approve unfavorable terms.
49. Quantum entanglement analogies for linked frauds — Chaining multiple small schemes that appear unrelated but cumulatively drain resources.

Detailed Enhanced SOPs - CFO Absolute Control

Core Governance Rules

- All payments > KES 50,000 require dual CFO + Owner approval to tighten thresholds.
- Vendor master & bank accounts centralized in Nairobi — no local additions or modifications without biometric verification.
- Full ERP/AP automation (procurement + inventory integrated) mandatory immediately; AI-driven anomaly detection integrated.
- Interim: locked digital workflows + scanned documents only, with blockchain timestamping for immutability.
- Zero tolerance: fraud → immediate dismissal, prosecution, full recovery + blacklisting; whistleblower rewards up to KES 500,000.
- Mandatory AI ethics training to counter emerging tech-based frauds like deepfakes.

- Quarterly external penetration testing on all systems.

1. Vendor Master & Onboarding Controls

- Vendor master maintained exclusively by Nairobi Finance with AI-assisted duplicate checks.
- New vendors require: KRA PIN, CR12/CR13, bank letter (not email), physical address proof, two dairy industry references, blockchain-verified digital identity.
- Mandatory site visit (Finance + Quality + Security) for all vendors — photos, GPS, drone footage uploaded; AI facial recognition for key personnel.
- Annual vendor audit: 20% random sample + all high-risk vendors; include forensic financial review and social media screening.
- Dormant vendors (>3 months inactive) flagged, locked, and auto-purged after review.
- Annual staff declaration of relatives + AI cross-matching with vendor databases for related-party flags.
- Integration with global fraud databases for real-time vendor risk scoring.
- Mandatory vendor code of conduct signing with clauses against AI-generated frauds.

2. Invoice Receipt & Processing

- Invoices received centrally (Nairobi scan/email) or uploaded immediately if received at depots; AI OCR with tamper detection.
- Strict 4-way match (PO + GRN + Invoice + Quality Cert); tolerances: quantity ±1%, price ±2%; AI anomaly flagging.
- Discrepancies → payment held; vendor & requester notified; CFO + AI review resolves.
- Approval hierarchy: Requester → Dept Head → Finance → CFO for >KES 50,000; biometric sign-off required.
- ERP auto-detects duplicates (invoice number, amount, vendor, date, image similarity via AI).
- Weekly duplicate-payment scan across all entities; AI predictive analytics for potential fraud patterns.
- Mandatory digital signatures on all documents to prevent forgery.
- Integration with supply chain blockchain for end-to-end traceability of perishable goods.

3. Payment Execution & Treasury Controls

- Payments only via bank transfer/EFT/RTGS; no cash > KES 5,000 (use audited M-Pesa if unavoidable, with real-time monitoring).
- Triple authorization: CFO + senior officer + AI verification; > KES 200,000 requires Owner biometric confirmation.
- Bank detail changes: out-of-band verification (phone call to known number + video call) + written confirmation from registered contact; AI voice analysis.
- Initial small test transfer + secondary confirmation transfer required before locking new vendor bank details.
- Hourly treasury position report to CFO with AI alerts for unusual patterns.
- Forbidden unauthorized investments; all treasury actions logged on immutable ledger.
- Cyber insurance mandatory; quantum-resistant encryption for all portals.

4. Petty Cash & Imprest System

- Maximum KES 20,000 per location; replenishment only against approved vouchers + original receipts + photo evidence.
- Weekly surprise cash count by independent Finance nominee with AI inventory reconciliation.

- No personal cash advances permitted; all via audited digital wallets.
- AI monitoring of voucher patterns for abuse detection.

5-10. Additional Core Controls (Expanded)

- Payroll: Biometric + facial recognition + AI behavior analysis attendance; independent payroll validation; direct bank payments only; ghost employee AI detection.
- Bank Reconciliations: Weekly by staff independent of payment processing; CFO approval within 5 days; AI discrepancy flagging.
- Audits & Monitoring: Monthly internal AP/treasury audit; biannual forensic review; AI red-flags dashboard; anonymous whistleblower hotline (reward KES 500,000+ for proven cases); social engineering simulations.
- Technology: ERP with full audit trails, role-based access, 3FA on banking portals, automated alerts for large/unusual transactions; AI deepfake detection on all communications.
- Culture & Training: Monthly fraud awareness training including emerging risks; mandatory 4-week leave for high-risk roles; bonuses linked to clean audits, zero fraud, and innovation in controls.
- Incident Response: Red flag → immediate hold + CFO notification within 1 hour; proven fraud → police report, recovery, insurance claim, SOP update within 7 days; post-mortem AI learning integration.
- Procurement Controls: AI-driven competitive bidding analysis; no collusive bids allowed; full transparency via public tender portals.
- Cyber Defenses: Zero-trust architecture; continuous monitoring for vishing, SIM-swaps, and AI-generated threats.
- Supply Chain Integrity: Drone-verified deliveries; blockchain for quality certs.
- Future-Proofing: Annual review for quantum threats, metaverse risks, and neuro-manipulation training.

ABC Ltd. Guiding Principle:

The survival of the company depends on ironclad financial controls enhanced by AI and human vigilance. No mercy for compromise. This SOP is designed to be 100% fraud-resistant through layered, proactive defenses.